
CHAPTER 3

What is Job Evaluation?

3.1 INTRODUCTION

Job evaluation is the **systematic** and **objective** process of comparing one job to another within an organisation to arrive at different job levels or a hierarchy. Job sizing is an outcome of Job Evaluation and is like a ruler or scale – it tells you the “size” or “weight” of the job. The purpose is to size all jobs in an organisation from smallest to biggest using a scale. From an employee justice perspective, the level or size of one’s job is important, and adds to personal motivations based on reward and growth. From an employer perspective, job sizes create certainty for planning and resource allocation.

Job evaluations must be objective; they cannot consider individual characteristics, personalities or performance. Individual abilities and efforts may be taken into account and reflected in an employee’s earnings, but that is entirely different from the grading of the job; Job Evaluation grades the job, not the person. Neither individual effort nor labour market conditions are taken into account when conducting a grading. Having said this, many remuneration experts consider Job Evaluation (or job sizing) as necessary for remuneration decisions to be made, including pay scale and fringe benefits. For this reason, it needs to be objective, defensible and rigorously executed.

Benefits of Job Evaluation systems include the provision of a logical graded hierarchy and pay structure. In this way, inequalities are reduced, and management and employees are able to see how different jobs relate to one another. Job evaluation provides a way to regain control over salary and wage administration, ensuring a consistent rationale for pay structures. Wage and salary administration are seen to be fair, and a detailed analysis of wage and skills gaps becomes possible. In addition, negotiation and collective bargaining are made easier by using a common language or defined point of reference. Compliance with legislation for those countries that have pay equity legislation is a considerable advantage.

There are a number of Job Evaluation systems in the market (see annexure 1 for some commonly used systems), but they all essentially rank jobs in an organisation from smallest to largest in terms of the **complexity** of the job. It is less important which system is used, than finding the system that works best for the workplace it is being applied in. Overall, consider a system that is defensible. In effect, it must be easy to understand and implement, be well regarded in the field, and very importantly, be endorsed and understood by the Executive and Remuneration Committees.

3.1.1 Background of Job Evaluation

Over the years, Job Evaluation has been adjusted to eliminate discrimination on the basis of pay. Today, Job Evaluation continues to represent employees to ensure fairness and is continually improved as society progresses. Thus, having analysed the shaky start of job analysis, the next section highlights its importance and its necessity.

3.2 THE NEED FOR JOB EVALUATION AT ALL STAGES OF A BUSINESS LIFECYCLE

As companies grow from being owner managed, more formal systems need to be implemented that “explain” why employees should earn what they earn. Job evaluation and salary structures provide the cornerstone for this explanation.

When organisations are first formed the owner has some idea of what tasks are performed in every job,

what person is required to fill that post, and how much to pay this person. Usually, this “pay policy” can be justified to employees. The employee usually has a one-on-one relationship with the manager and negotiation around the remuneration issue is informal and sometimes frequent.

As the organisation grows it becomes more structured, with more processes and systems necessary for the owner/manager to control. Various sections are created, and sectional managers become responsible for the hiring, firing and remuneration levels of staff. The changing perception of management and the varied priorities between section managers lead to discrepancies in pay rates between divisions, and even between jobs with similar skills. At this stage, Job Evaluations are usually used. Although Job Evaluations help to determine relative pay levels, the pay levels for particular jobs and individual earnings remain organisational policy decisions based on internal and external factors.

Benefits which accrue from job descriptions and the process of writing them provide an opportunity to study the organisational structure and to identify anomalies, since the job analyst has to understand fully how each job is structured. The following must be noted by the job analyst: key areas of responsibility, levels of authority and accountability, reporting relationships, spans of control, lines of communication, job design and resourcing levels. Finally, most countries have legislation around pay equity or equal pay for work of equal value. Having a Job Evaluation system goes a long way to comply with this type of legislation because one can more easily explain why certain categories of employees earn commensurate amounts of pay.

3.2.1 When should Job Evaluation be used?

Job evaluation is a logical follow through in support of organisational design, which in turn is a response to organisation strategy. Many of the problems that inhibit the effectiveness of organisations have to do with job or role perceptions. Sorting out problems of job definition and relativities can often dispose of the root cause. It is often easier to see career paths that facilitate skills development, especially under the job family modelling or career path approach.

Job evaluations should be applied in situations where discrepancies are seen in interdepartmental hierarchies regarding job values. They should also be applied where salaries and wages are not equitably distributed. Job evaluations and salary structures provide useful data for analysing an organisation’s pay slope, pay ratios, pay ranges and overlap. There are legislative requirements asking companies for this type of data, thus some kind of Job Evaluation system is needed in order to fulfil submission requirements.

There are various circumstances that require Job Evaluation. One such circumstance is when a range of pay rates exist for variety of reasons. Job evaluations may also be used when there are demands for parity. Two completely different job roles may require the same skill level, thus Job Evaluation needs to be used to categorise these jobs equally. Alternatively, two job roles may seem similar but have different prerequisites to perform them. Job evaluation will therefore need to be used to categorise them.

Job evaluation should be used to co-ordinate pay rates. When minimal coordination of pay rates exists, this makes the pay system disorganised and unjustified. Additionally, Job Evaluation should be used to bring organisation to the basis of pay rates; it should form a logical basis upon which to make pay decisions. Job evaluation is needed when “job values” are confused with “person values”. For instance, person A fills job 1. Job 1 is generally worth \$20 an hour but since person 1 has a great personality, the employer decides to give them \$40 an hour. Person 1 decides to leave the job and the next employee, person 2, although equally as competent as person 1, has less personality and gets paid \$20 an hour. Thus, the pay system has worked on a “person” basis by valuing the employee, rather than valuing the job.

Another purpose of Job Evaluation is for when organisational structure reviews are required. Experts can choose to reorganise the organisational structure with the help of job grades as per the evaluation process. It can also help with the development of career paths.

Ultimately, Job Evaluation should be applied in situations where discrepancies are seen in interdepartmental hierarchies regarding job values. It should also be applied where salaries and wages

are not equitably distributed.

There are thus a variety of reasons for Job Evaluations to be undertaken. On the whole, the reasons are usually centred around parity, transparency and planning. To this end, Job Evaluations can be used as a means of facilitating the evolution of the organisation, helping management and employees see how different jobs relate to each other, plotting career paths through the hierarchy, assisting with skills development within the workplace, and conducting a detailed analysis of wage and skills gaps for providing a common language and defined point of reference for negotiation and collective bargaining.

Benefits which will accrue from job descriptions and the process of writing them include detailed information for recruitment, specifically for developing the job specification; planning the interview; meaningful advertising; providing prospective employees with details of what is required in the job; and meaningful induction training. Apart from assisting in the understanding of the organisational structure and informing the recruitment process, there are additional benefits accruing from job descriptions which are discussed in the below section.

Further benefits which accrue from job descriptions and the process of writing them are that they supply a basis for job procedures and performance standards, a framework for performance and progress review, detailed information for career pathing and resource planning, and detailed information for the development of training programmes. They also assist the organisation to comply with legislation that requires organisations to justify differences in pay. Having discussed the benefits of job descriptions, the next section outlines the Job Evaluation process.

Table 3.1: Definition of terms relating to Job Evaluation

Term	Definition
Job analysis	The process of examining the content of a job and breaking it down into its tasks, functions, minor functions, processes, operations and elements.
Job description	The description of a job as a result of job analysis.
Job evaluation	The whole process put together.
Job grading	The ranking or assigning of levels to jobs as a result of job analysis.
Job specification	The qualifications, experience and personal qualities required by the jobholder (mainly used for recruitment).
Wage and salary structures	The assignment of a monetary value to each grade, based on: • affordability; • market norms and rates; • employee representation negotiations; and • economic environment and indicators.

3.3 JOB EVALUATION PROCESS

During the process of Job Evaluation, questions should be asked about the tasks being performed in a particular job, the relationship of jobs to each other, overlapping job content, and responsibilities. The content provided in the job descriptions can be effectively used for job design and job enrichment programmes. Job evaluation systems have to be flexible to accommodate the changing, dynamic environments within the market as well as in the organisation.

There are two stages in Job Evaluations:

- **Stage 1:** Only the job is graded, and only in its current state. This is not an idealistic future job and it needs to be considered as though there are no incumbents. Always consider competence in evaluating the role, not 'what could go wrong'. Job descriptions and a grade result.
- **Stage 2:** After the job has been graded, only then do you look at individuals in the job and decide where to place them on the pay scale. This results in a salary structure.

Job evaluation must be an impersonal process in stage 1; it must not consider the quality, performance or effort that a person brings to the job so as to avoid bias. One must be cautious that the current wage or salary structure in an organisation does not introduce bias. Consciously or unconsciously, we tend to construct a hierarchy of jobs in our own minds based on what we know of the existing wage or salary structure. The grading committee must continually be reminded that it is "the job and not the person" that is important, and that current wage or salary levels are irrelevant to the grading process. It is only in the development of the salary or remuneration structure at stage 2 that one can take personal qualities, the characteristics of the person in the job, performance and effort into account.

In job grading, assessment and comparison focus on the job content, not the value of a job to the organisation. Although Job Evaluation is used to determine relative pay levels, pay levels for particular jobs and individual earnings remain organisational policy decisions based upon internal and external factors. Internal equity and external equity features are used to compile the salary structure. Figure 3.1 below shows a typical salary structure.

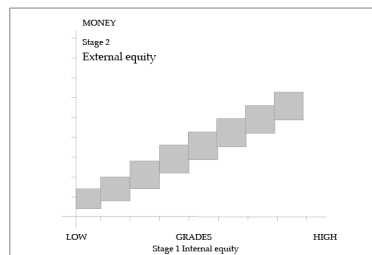


Figure 3.1: Typical salary structure

3.3.1 Job descriptions and job grading (stage 1)

The processes of developing job descriptions and conducting job grading are set out in the below.

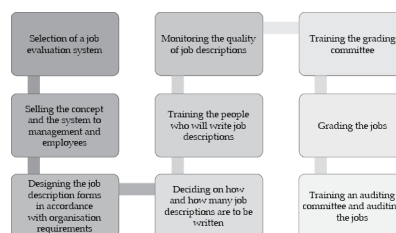


Figure 3.2: Job descriptions and job grading: Stage 1

This process is inflexible; one must observe the grading rules if the system is to retain its credibility. To enable the grading committee to grade jobs objectively, job descriptions must be written. Most systems of Job Evaluation require job descriptions if gradings are to be justified.

3.3.2 Salary structure (stage 2)

Stage 2 is a separate process, with seven steps which are outlined in Figure 3.3 below.

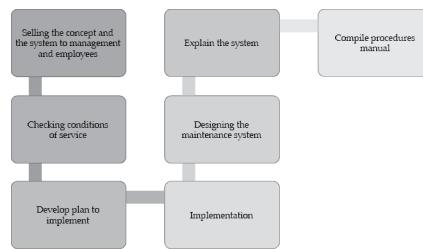


Figure 3.3: Job descriptions and job grading: Stage 2

3.3.3 Comparing stages 1 and 2

The two stages can be compared as shown in Table 3.2 below.

Table 3.2: Comparison of the two stages

Comparing	Stage 1	Stage 2
Flexibility	Inflexible; the grading rules must be applied.	Flexible; individuals can be paid anywhere along the pay scale in line with the organisation pay progression policy.
What is taken into account	Looks at the job, not the person performing the job. Grade the JOB and not the PERSON.	Takes account of personal qualities and characteristics of person in job.
Personal or impersonal	Impersonal.	Personal.
What is important	Observe grading rules.	Quality, competence, performance and scarcity of skill and effort are taken into account.

To implement the Job Evaluation process, management should pay special attention to certain guidelines. First, they should be committed to the programme and the motives for carrying it out. Second, they should state their belief in justice and fairness. Third, they should state that no one will have their fixed pay reduced. Fourth, they should reiterate that it is the job that is to be evaluated and not the person. Fifth, they should explain the method simply. Finally, they should ensure appropriate participation. Ignoring these guidelines could lead to failure in the implementation of the Job Evaluation process. Additional elements that may result in a failed Job Evaluation system are now discussed.

3.4 WHY JOB EVALUATION SYSTEMS FAIL

In most cases, where a system collapses, it is not because of the system itself, but is usually due to one of the following factors: weak initial implementation; weak top management support; lack of employee participation and support; upgrading of jobs without a corresponding change of job content; inadequate administrative support; lack of communication; the system not being managed; job descriptions not being reviewed and re-graded as jobs change; new employees and managers not being educated on the system; no cross-correlation of other similar jobs in the organisation leading to inconsistency; and/or lack of transparency.

A job should be re-graded only if there is an appropriate or noticeable change in job responsibilities or in the organisational structure. Resist the temptation to upgrade the job merely so that the person can be paid more – greater flexibility must rather be built into the salary structure. Upgrading without a corresponding change in job content is the major cause of the collapse of Job Evaluation systems.

Having discussed several reasons for the failure of Job Evaluation systems, the next section discusses how to choose a Job Evaluation system so that the system will be most successful in your organisation.

3.5 CHOICE OF A JOB EVALUATION SYSTEM

All currently popular systems produce similar and workable hierarchies. The criteria for the choice of a system are the following: the Chief Executive must understand the system and be committed to it; everyone, including the people at the lowest level in the organisation, must understand and accept the system; the system must be defensible; updating and maintaining the system must not be an administrative burden; the system must be flexible and accommodate all types of grading systems including broad-banding; and the system must be user-friendly and support the culture of the organisation.

There is no such thing as a good or bad Job Evaluation system. They all do the same thing – rank job descriptions relative to one another. Previous studies have shown a 0.94 correlation between all systems of Job Evaluation.⁵⁰ Put a different way, it is therefore not entirely unexpected for there to be about 6% of jobs that might differ across grading systems. This is pretty good given that we are dealing with social science and people's perceptions. The next section will discuss how different Job Evaluation systems are categorised.

3.5.1 Categorisation of Job Evaluation systems

It is the corruption of a system that makes it seem poor or inappropriate, making maximum participation and commitment essential. Job evaluation systems can be categorised according to the below:

- The basis or method of comparison:
 - comparing job against job; or
 - comparing job against some scale.
- The means or method of analysis used:
 - considering the entire job; or
 - considering job elements or factors.

Table 3.3: Summary of the various approaches to categorisation of some Job Evaluation systems

Basis or method of comparison		Means or method of analysis	
Basis or method of comparison		Consider job elements or factors	Consider entire job
	Comparing job against job	Factor comparison, for example, HAY, IPE	Ranking, internal benchmarking, paired comparisons, market pricing
	Comparing job against some scale	Points methods, for example, Peromnes, JE Manager, EQUATE, JE Paterson Points	Classification methods, for example, Stratified Systems Theory (SST), Paterson, TASK

There are various other considerations to be taken into account when performing a Job Evaluation, which will now be discussed.

3.6 POINTS TO REMEMBER WHEN EVALUATING JOBS

When evaluating jobs, remember the following:

- There is no such thing as a scientific method of Job Evaluation. Although scientific principles and processes may have been used in the development of certain methods, in practice they are all

systematic approaches to the establishment of the hierarchy of jobs in an organisation.

- Virtually all Job Evaluation methods used world-wide do the same thing: rank the relative worth of one job to another and produce nearly identical hierarchies.
- Each method has advantages and disadvantages. Organisations should select the best suited according to their requirements but realise that good implementation and ongoing management are more important than the system chosen.

Because there is no such thing as a scientific system of Job Evaluation and because all methods are systematic approaches to grading jobs, the grading committee should be a standing committee, as there are often ongoing appeals to re-evaluate when job content changes and the need to evaluate new jobs.

Finally, a Job Evaluation system must be flexible and grow with an organisation's needs. If it is perceived to be a dynamic, living system, it can even become a motivational influence. There should be procedures for updating job descriptions and subsequent re-evaluations.

3.7 JOB EVALUATION: FREQUENTLY ASKED QUESTIONS AND SAMPLE ANSWERS

Table 3.4 illustrates commonly asked questions from employees about the Job Evaluation process, and some possible answers to these queries.

Table 3.4: Commonly asked questions and possible answers

Commonly Asked Questions	Possible Answers
Am I being evaluated?	Definitely not. The job is being graded regardless of incumbent.
What method of Job Evaluation are we using?	The XYZ method, which is one of the most commonly used systems. It has the following features...
Who will be doing the job grading?	An objective outside consultant or grading committee will receive the job description, with no name on the job description, and apply the grading rules to arrive at an accurate grade.
When are jobs graded?	Jobs are graded whenever there is a significant change in job content, or for new jobs.
Will the company pay me more money as a result of the Job Evaluation?	No. Job evaluation is a process of ranking the relative worth of one job to another. If the job is upgraded, a higher pay scale will apply, but it does not automatically guarantee a pay increase.
Will Job Evaluation solve problems I have with my manager?	Not likely. It does not solve all problems and does not replace good management and leadership.
Why are we implementing Job Evaluation, then?	The organisation needs to have a defensible rationale for developing pay structures to ensure that similar jobs have the same pay range. It is also used to support recruitment processes, organisation design, and facilitating external comparisons of job and pay levels.
Can I see my grade?	Yes, you will be told your grade and it will be explained to you (depending on the organisational policy).
Can I see another person's grade?	No, we respect the individual's right to privacy regarding their remuneration and grade.
What if I do not understand why I am on a particular grade?	First ask your manager or head of department to explain it to you. If there is still uncertainty, speak to the HR manager.
Is there going to be any training?	If there is a need, there will be annual refresher courses on how the system works.
Does the Executive Committee support the principles of Job Evaluation, and are they committed to its fair application?	Yes. EXCO is committed to the fair application of Job Evaluation. To this end, an objective, external consultant will be used to ensure the integrity of the system, either to audit results or to evaluate jobs.

Commonly Asked Questions	Possible Answers
Will my job description and grade put me in a “box” and stifle my creativity?	No, you can be as creative as you can and want. If your role changes because of it, we can re-write your job description to include these changes and re-evaluate the job to determine if your pay grade should also change.
Is Job Evaluation causing too much hierarchy and one-to-one reporting?	Job evaluation per se does not cause this; changes in the organisation design do.

3.8 CONCLUSION

Job evaluation is the systematic and objective process of comparing one job to another within an organisation to arrive at different job levels. It does so without looking at individual characteristics, personalities or performance. All Job Evaluation systems do the same thing, i.e., rank jobs according to complexity of work. Job evaluation systems assist with ensuring equal pay for work of equal value. Many organisations have started to outsource the grading of their job descriptions to keep it professional and impartial. Job evaluation fails when jobs are upgraded without a corresponding change of job content. Job evaluation systems need to be maintained and audits should be done every few years to secure the integrity of the system. Make sure that all leaders have a good understanding of the system you have chosen.

In conclusion, this chapter has provided insight as to the what, why and how of Job Evaluation. It began by discussing what Job Evaluation is and how it came about. It then went on to discuss why Job Evaluation is used, as well as the benefits of its presence and the cons of a lack of presence. Finally, the chapter discussed how to determine the best Job Evaluation system and process for your organisation.

CHAPTER 4

Paterson Job Evaluation

4.1 OVERVIEW AND INTRODUCTION

The Paterson method of Job Evaluation has been implemented in many countries across the world. South African Government reporting is done using Paterson, which makes it one of the most commonly used systems in Africa.

The method contends that jobs, regardless of level, industry or country, can be compared by looking at the kind and complexity of decisions that must be made by an employee. Paterson claims that an organisation's pay structure should reflect the job structure and levels of responsibility that result from Job Evaluation.

The goal of this chapter is to outline the Paterson model and discuss its practical applications. In our view, it is the most suitable system for any organisation because it is flexible enough to accommodate any organisational design (OD) structure, it is easy to understand, is quick to implement and is very robust.

4.1.1 Key features of the Paterson system

The Paterson system includes concepts and rules developed by Professor Thomas Thomson Paterson in Scotland in 1963. These have been refined over the years to suit the modern world of work, establishing decision-making or freedom to act in a role. In our view, Elliott Jaques' Stratified Systems Theory (SST) is a close cousin to Paterson's theory. Key features of the Paterson system include the below:

- **Non-discriminatory** – no regard for race, gender, religion or creed.
- **International system** – Recognised by ILO (International Labour Organisation).
- Easily **accommodates** broad-banding and multi-skilling.
- Ties in well with the **employment equity** levels.
- A **useful OD** framework and tool.
- **Easy to understand** and communicate.
- **Quick** to implement.
- Supported by **salary surveys**.

4.2 HOW TO CARRY OUT PATERSON JOB EVALUATION

The procedure for Paterson evaluation is as follows:

Table 4.1: Process of grading

Step	Action
1	Band all the job profiles A to F using the rules provided.
2	Sub bands into 'upper' and 'lower' based on the coordination of work in the same band or continuum of skills. This can also be done using sapiential authority.

3	Sub-grade the jobs using the following factors: • Variety • Complexity • Precision • Physical effort/pressure with the qualifiers of education, training time and competence required.
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4.3 HIERARCHY OF SKILLS AND DECISIONS

In his original books, Paterson set out the hierarchy of skills and decisions seen in Table 4.2. This is sometimes referred to as classical Paterson with 28 levels. Since then, several versions have evolved, including only having six broad bands and having 11 sub-bands. Very detailed grading rules are not provided in this textbook, but when understood and followed closely, lead to accurate grading.

Table 4.2: Classical Paterson Hierarchy of Skills

BAND	SUB – BAND	SUB – GRADE	DESCRIPTION
F	F Upper	F4, F5	Co-ordinating or Supervisory (Top Policy)
	F Lower	F1, F2, F3	Top Policy
E	E Upper	E4, E5	Co-ordinating or Supervisory (Programming)
	E Lower	E1, E2, E3	Programming/Long Term
D	D Upper	D4, D5	Supervisory (Interpretive)
	D Lower	D1, D2, D3	Interpretive/Probabilistic
C	C Upper	C4, C5	Supervisory (Skilled)
	C Lower	C1, C2, C3	Routine/Skilled Operational
B	B Upper	B4, B5	Supervisory (Semi-Skilled)
	B Lower	B1, B2, B3	Operational
A	A	A1, A2, A3	Defined

It is important to take note that the number of tasks will not change a role from an A Band to a B Band, i.e., it does not follow that the longer the job description, the higher the grade. Volume also does not change a grade, for example, if one serves 50 cups of tea a day or 100 cups of tea a day, it does not make the grade go up. Rather, complexity, accountability, decision-making, impact and skills and knowledge can have an impact on changing a band. Therefore, a job profile needs to be comprehensive and detailed enough so that you can discern at what level the role operates, i.e., is it tasks, operations, processes, disciplines (interpretative in nature), programming, or policy-making and defining the strategic intent?

The table below is known as the Banding Clues Table, which may assist in determining the band for a position.

Table 4.3: Banding clues

BAND	LEVEL/TITLE
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BAND	LEVEL/TITLE
F	Organisation/s
E	Major Corporate Function/s
D	Discipline/s or Function/s
C	Process/es or system/s
B	Operation/s
A	Task/s

4.4 THE STEPS TO FOLLOW WHEN CONDUCTING A PATERSON JOB EVALUATION

Using the Job Evaluation rules, place each job description in a band (step 1). The factors to be used are predominantly the *types of decisions or decision-making role of the job*.

In order to be able to differentiate between jobs and to grade fairly, one often cannot simply grade a job as a whole, i.e., it may be necessary to *first grade each key task in the job*. **This allows one to establish the highest graded task in the job.** Provided this is done regularly, that should be the grade given to the whole job. In addition, when one is comparing two jobs, it may well be necessary to compare by a count of the number of higher graded tasks.

Since banding is based on the decision-making factor, grades will be allotted mainly in terms of the *level of judgement* each output requires. Factors such as training, supervision required, consequence of errors and pressure of work are also important, but are more a qualification (fine tuning) of the judgement aspect.

If two workers in the same job have different performance or proficiency levels, the grade of the job will be the same, i.e., it is not affected by the “person factor” of performance. Performance is not a grade issue. *Remember you are only looking at the outputs and competencies themselves, and not performance in the job or the person doing the job.*

Step 2 is sub-banding, where you place jobs into the upper or lower section of the band based on whether an employee supervises work in the same level as themselves or not. Continuum of skills and sapiential authority is also sometimes used to place jobs in an upper band. Sapiential authority is a level of wisdom that one acquires over a long period of time. It places a person in the unique position of having an authority that if one did not adhere to, the consequences would be dire and collateral damage too much for the organisation to bear.

4.4.1 Step 3: Sub-grading of jobs

The process of sub-grading takes place *one band at a time, starting with A band jobs. Jobs in the same band are compared to each other* in terms of the major criteria, namely:

- variety of tasks;
- complexity of tasks;
- precision; and
- mental or physical effort.

Note: Qualifiers like skill levels and type, education and time taken to learn the job may also be used.

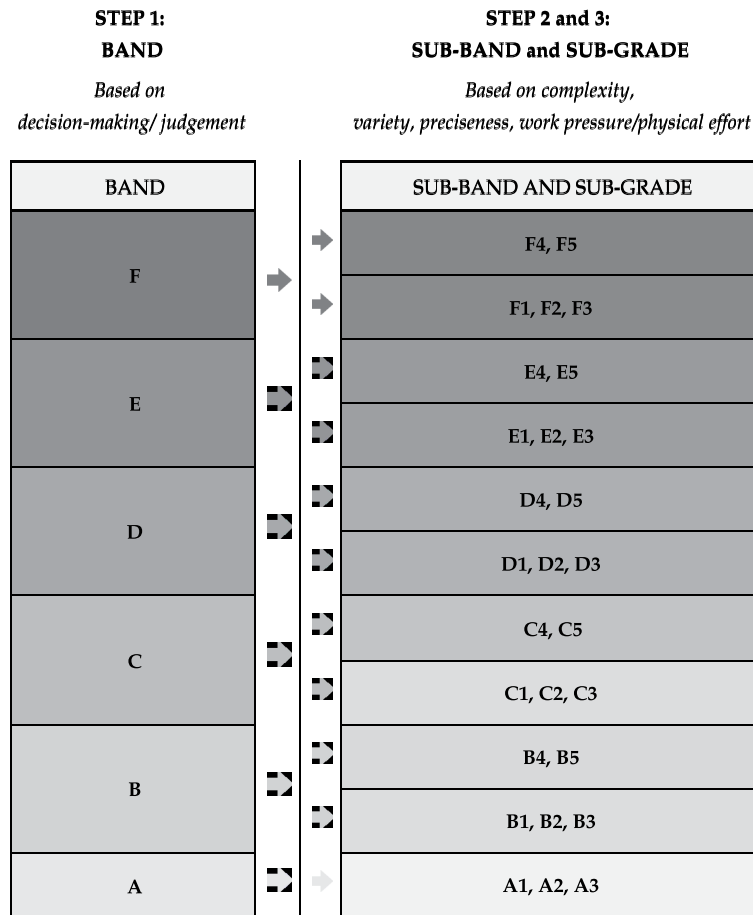


Figure 4.1: Steps used to grade a job

4.5 DEFINITIONS

- **Variety** of tasks:
 - Jobs having a wider variety of tasks are sub-graded higher than jobs where there is little variety.
- **Complexity** of tasks:
 - Jobs having more complex tasks or more complex combinations of tasks are sub-graded higher than those with fewer complex jobs.
 - Where jobs have a larger number of decisions in the same band they are sub-graded higher.
- **Precision**:
 - Jobs requiring a high degree of precision and very strict tolerances are sub-graded higher than jobs where precision is not critical and where tolerances are gross, e.g., an instrument maker or a millwright may be sub-graded higher than a boilermaker.
- **Pressure** of work/physical effort:
 - Jobs demanding high physical and/or mental stress are often sub-graded higher than jobs

where these factors are less demanding.

Note: Qualifiers like skill levels and type, education and time taken to learn the job may also be used.

4.6 DIMENSIONS OF A PATERSON JOB EVALUATION

For thousands of years, people have considered it fair that *those who make more important and more difficult decisions be paid more than those who make less important and less difficult decisions*. Add to this the ability to grade all jobs in the same way against the kinds or weight of decisions made, and you have a basis for a simple, fair Job Evaluation method. Paterson defined *six types of decisions or levels of work*, which are found in any organisation. Any job can be defined in terms of these *bands of decision and the authoritative relationships* involved.

Each job is composed of *outputs and competencies*, and the decisions required to complete each can be identified.

4.6.1 Broad Paterson Bands

The six types of decisions, called bands or levels of work, can be defined as follows:

Table 4.4: Paterson broad bands

BAND	LEVEL/TITLE	KIND OF DECISION
F	LEVEL 6 Policy-making Decisions <i>(Top management)</i>	- Overall policy decisions are regarded as being superior to any other decisions. They are associated with top-level management and give the overall direction of the organisation. - The limits are very wide and in many cases are only specified by the laws of the land. - Top management decides on policy in all major areas of operation (e.g. finance, production, marketing and human resources).
E	LEVEL 5 Programming Decisions/Long Term Strategy/Strategy Execution <i>(Senior/General management)</i>	- The execution of policy is broadly planned or programmed within the limits of discretion set by top management. - Senior management decides on organisation structures. - The overall programme for major functions, the relationship between major functions and the major operation objectives.
D	LEVEL 4 Interpretive/ Probabilistic Decisions <i>(Middle management/ Professional/Advanced Specialist)</i>	- The limits of discretion for interpretive decisions are set by senior management's programme, plan or budget. - The interpretive aspect comes from the choice of a best decision out of a spectrum of possible decisions within the limits of discretion. - These decisions often involve determining the best use of available manpower and machines to achieve the targets agreed in the programme. - Middle management decides on systems and procedures, rules and regulations, plant manuals, localisation plans/programmes and interpretations not covered by existing rules that is "what to do".
C	LEVEL 3 Deterministic/Process /System Decisions <i>(Skilled/Advanced Operational/Specialist)</i>	- Once the rules have been set by the interpretive decisions, execution begins. - What is to be done has already been decided and the next level of decision – is the choice of the way in which it is to be carried out from established processes, practice, systems, trade knowledge and rules and regulations. - People taking these decisions can decide which process to use. They know the theory behind the operations. - They must decide "how", "where" and "when".
B	LEVEL 2 Operational/Subsystem <i>(Semi-skilled/Operational)</i>	- This is work in which the processes are defined and freedom of choice is restricted to the operations. - Within the constraints of the process – the "how" – the workers can decide "where" and "when" to carry out the operation/s that constitutes the process.

BAND	LEVEL/TITLE	KIND OF DECISION
A	LEVEL 1 Defined Decisions <i>(Basic skills)</i>	The decisions made by the worker can be defined and the worker is left with little choice other than variation in control of the elements of an operation that is “when”.

Except for Band A, all bands can be sub-divided into two sub-bands, an upper (U) and a lower (L). This is done because at all these decision levels there are positions where the person must supervise or coordinate the work of other people and jobs in the same Band. Table 4.5 indicates the basic breakdown of the decision structure of an organisation.

Note: However, a person will usually make decisions of lower bands in addition to decisions in the band in which his/her job is located.

Table 4.5: Example of generic job structure by band

BAND	KIND OF DECISION	TITLE/ LEVEL	SUB-BAND	KIND OF GRADE	INDICATIVE TITLES
F	Policy-making Strategic Intent	Top management	F Upper	Co-ordinating or Supervisory (Policy)	Group CEO/Managing Director
			F Lower	Policy	Executive Director
E	Programming/Long Term Strategy/Strategy Execution	Senior/General management	E Upper	Co-ordinating or Supervisory (Programming)	General Manager Business Manager
			E Lower	Programming/ Long-term	Assistant General Manager Business Area Manager
D	Interpretive/ Probabilistic	Middle management/ Professional/ Advanced Specialist	D Upper	Supervisory (Interpretive)	Department Manager
			D Lower	Interpretive/ Probabilistic	Section Manager
C	Process/ System	Skilled/ Advanced Operational/ Specialist	C Upper	Supervisory (Skilled)	Supervisor Foreman
			C Lower	Process/System	Artisan Chemist Sales Rep
B	Automatic/ Operative/ Subsystem	Semi-skilled/ Operational	B Upper	Supervisory (Semi-Skilled)	Chargehand Bookkeeper
			B Lower	Operative/ Sub-system	Operator Driver Clerical
A	Defined	Basic skills	A	Defined	Trainee Basic Skills

The grades can be further sub-divided into sub-grades. These can be judged by the variety; stress

complexity; precision; supervision required; and the skill levels indicated by education, training and experience, of the job.

Important: *At the beginning of a Job Evaluation exercise you will have no idea of the total number of sub-grades required, but you should aim to limit them to the minimum needed by the organisation. It is only possible to establish the total number of sub-grades once all the jobs have been graded and compared with each other at the review sessions.*

For new or first time implementations, one can, to some extent, decide in advance how many levels there should be, but one should let the process unfold.

Role of the Job Evaluation Committee

The role of the Role Evaluation Committee is to:

- appreciate the degree and extent to which jobs add strategic value to the organisation (this is based on the committee's expertise in Job Evaluation and the specific system used);
- understand the strategy and culture of the business (current and future); and
- understand management philosophy, policy and practices.

The Job Evaluation Committee should meet on an ongoing basis and should consist of:

- employees – to be invited to participate when the job profile is ambiguous and needs further clarity by the incumbent;
- members – to represent functional diversity;
- Chairperson – to chair Job Evaluation meetings;
- external consultant/facilitator – to facilitate the committee and ensure grading rules are adhered to (this would ideally become an internal facilitator, e.g., HR Executive/representative);
- alternate members – to participate in the committee in the absence of a member;
- labour representation – to be included in grading jobs within the bargaining unit; and
- secretary – to coordinate meeting requirements and act as a scribe.

4.6.2 Dispute Resolution

Dispute resolution refers to an internal process among the Job Evaluation committee to discuss the grade and gain consensus as a committee. It is important to gain consensus through discussion and consider the evidence in the job profile, and not to rely on voting. Sometimes this is not possible, however, so to resolve the impasse, most organisations follow the steps below:

- Step 1 – 100% consensus
- Step 2 – Pending/Problem File/Parking Lot
- Step 3 – Mediation
- Step 4 – Arbitration

Management's role: addressing common misconceptions

- Be committed to the concept, system and project.
- State belief in justice and fairness.
- State that no-one's basic pay will be reduced.
- State that the job is to be evaluated, not the person.

- Explain the method simply.
- Ensure maximum participation.

4.6.3 *Typical Career Path*

Below is an example of a typical dual career path for pay. It illustrates the Paterson Levels for Management and for Specialists, and their respective Paterson grades. Career progression could happen at virtually any level; it is specific to each organisation and the organisation's strategy in terms of career progression and succession planning.

Paterson Level	MANAGEMENT	SPECIALIST	
F 1-5	Top Management	Manager of Technology	Technology Strategist. Strategic Management of Technology
E 1-5	Senior Management	Principal Specialist	Organisational expert within a discipline. Advanced research
D 1-5	Middle Management	Senior Specialist	Specialisation within a sub-field of a broad discipline and entry level research
C 3-5	First Line Supervisor	Specialists	Specialisation within a broad functional/technical discipline
C 1-2		Advanced Operational	
B 4-5		Operational Skills	
B 2-3		Auxiliary	

Figure 4.2: Typical career path

4.6.4 Paterson Points

Many countries have legislation on equal pay for work of equal value. 21st Century designed the Paterson Points system based on the defined factors in all countries' legislation to allow us to evaluate and grade jobs based on five major factors, which gave rise to JEasy Paterson Points.

4.6.5 JEasy Paterson Points Job Evaluation Tool

JEasy Paterson Points is a sophisticated, flexible, completely secure, web-based Job Evaluation Point System. Each factor is assigned a weight or points according to how much of that particular factor is present in the job. The more points assigned to a job the more worth the job has to the organisation. This is called the Points Factor Job Evaluation method. It was specifically designed to accommodate an agile workplace and the concept of WFA (work from anywhere). Indeed, even the job grading panel can be sitting anywhere in the world, whilst simultaneously grading a job. A comprehensive audit trail of who graded which job and which level they chose for each factor is stored and used for audit and comparison purposes later should the job have changed.

Table 4.6: Five major factors that encapsulate the Paterson Derived Grading Theory

Skill	Effort	Responsibility
Knowledge and Skills (KS)	Problem Solving (PS)	Judgement (J)
		Accountability (A)
		Impact (I)

This system is state-of-the-art and complies with all labour legislation and the International Labour Organisation's (ILO) standards. In order to use the system responsibly and effectively, it is essential to have a **good working knowledge** and understanding of the **JEasy Paterson Points Job Evaluation system**. For this reason, **Job Evaluation training is included in the price** of the product.

JEasy Paterson Points statements are **available in five languages** – English, Afrikaans, isiXhosa, Sesotho and isiZulu – which 21st Century believes will add credibility to the system.

The next chapter covers the impact of Job Evaluation on salary structures.

CHAPTER 5

The impact of Job Evaluation on salary structures

5.1 INTRODUCTION

Job evaluation can be viewed as a transactional process, with an outcome that merely results in a score, however that only accesses a tiny portion of the value that a Job Evaluation result gives. Job profiling and the resulting Job Evaluation are the cornerstone of all remuneration processes and outcomes, with reward strategy in turn having a direct impact on driving the behaviour needed for organisational success and sustainability. In general, the process of developing a Job Evaluation to meet the organisation's aims is illustrated in Figure 5.1 below.

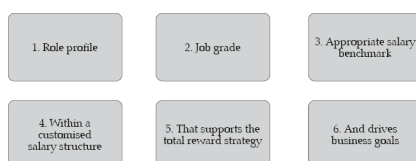


Figure 5.1: Process from developing a role to achieving business goals

Job evaluation is an *enabler* in an organisation. This chapter focuses on the design of salary structures, as well as the link between the Job Evaluation process and results to a customised salary structure, beginning with a breakdown of what a salary structure is.

5.2 WHAT IS A SALARY STRUCTURE?

A salary structure serves as a guide for all pay-related decisions. It is also referred to as a pay scale, or a salary scale. A pay structure is a tool designed to create pay levels and pay opportunities that are internally fair, externally competitive and cost-effective. Salary structures are created and administered to support an organisation's pay strategy. A salary structure is unique to an organisation because it speaks to that organisation's bespoke structures, such as its total reward strategy, affordability, the external market the organisation compares against, and the unique business critical skills that are found within the organisation.

A pay structure comprises grades (for example Paterson A, B, C, D, E and F) that have pay ranges attached to them (see Table 5.1).

Table 5.1: Pay structure based on Paterson

Paterson Grade	Pay Range				
	Minimum	Lower Guide	Midpoint	Upper Guide	Maximum
A	A range is created from min to max, around the midpoint		Market data is referenced here		A range is created from min to max, around the midpoint
B1					
B2 and so on					

Graphically this can be viewed as follows:

Pay structure design

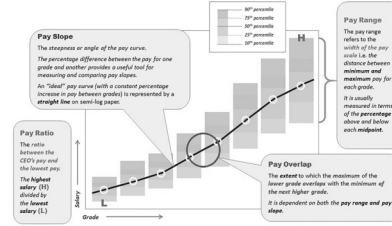


Figure 5.2: Pay structure design with terms defined

Pay structure design demonstrates the link between Job Evaluation and a salary structure. If the grades are incorrect, reference will be made to an incorrect salary reference point. It is clear that in this case, the Job Evaluation result is an important reference point and anchor for the pay structure.

Specifically, pay structures are influenced by supply and demand; the market rate for the job; cost of living; the financial position of the firm or industry; management decisions/policies; trade unions and existing agreements; the current salary/wage structure; the number of grades from top to bottom; and market stance and relativity.

Before designing a pay structure, strategic issues should be considered. These concern whether the structure is able to support the organisation's business strategy; the structure's compatibility with total remuneration design strategy (including fixed and variable remuneration); and the guaranteed pay to variable ratio. Prior to designing a pay structure, additional factors should be considered, such as competitive practices (specifically, external equity); the organisation's job and workplace design approach to produce internal equity (in other words, does the pay structure speak to the organisational structure and the job grade outcomes?); the administrative policies of the organisation; and funds available for pay.

There are a variety of considerations to take into account when designing your pay structure.

Table 5.2: Internal and external equity

Internal equity	External equity
Are the grades correct?	Incorporate relevant market data, with reference to both job content and job grade
Do any job grades look out of place?	Review market inconsistencies and determine importance of market alignment
Does the hierarchy of positions make intuitive sense?	Consider technical design issues
Is the rater evaluating the job or the person?	
Check peer and subordinate relationships	

Once again, it is the internal equity and Job Evaluation process that must be validated first, so that it speaks accurately to the pay structure that is influenced by the external market.

A salary structure is used for a number of talent management initiatives beyond the salary decision. For example, it can be used for recruitment, performance-related pay decisions, recognition of competence and skill acquisition, career management and pay progression, and differentiation for critical and business imperative skills. The next section considers what informs the salary structure.

5.3 WHAT INFORMS A SALARY STRUCTURE?

Robust salary benchmark information forms the core source of information that sits behind a salary structure. It is thus important to be confident of the salary survey benchmark data, and to be sure that it is relevant. Relevance is important on a number of levels: Are the job matches relevant to the jobs in my

organisation? Are we comparing to a relevant sample? Is the data current? Should I age the data to be relevant for the full annual period that my salary structure defines? Is the data specific to the same components of pay we have in our organisation? These are all important conversations that need to happen in choosing the relevant salary survey source for the design of your salary structure.

In diagrammatic format, the components can be represented as shown below. You need to be sure that you are comparing apples with apples if you have offices and divisions in different countries, as an example, and are using different salary surveys. The benefit structures and definitions vary across countries and organisations, and we recommend that you clarify the components your survey is reporting on so that you have a relevant comparison to your own structure.

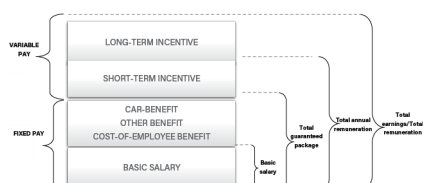


Figure 5.3: Salary structure diagram

In choosing a salary survey you can trust with confidence, consider whether the survey is audited by an independent party, who the survey participants are, whether you can narrow down the comparator-base you would like to compare it with (e.g., an industry or region?). Interrogate the survey methodology: Is full payroll data collected or an average pay per job per survey participant? Is data smoothed or excluded? How often is the data updated? Is the survey a live view of the market or is it aged annually? When choosing a salary survey you can also consider whether all data percentiles are reported, how jobs are matched, and whether job grades are taken into account on the data submission and job matching.

Table 5.3: Example of salary survey data per annum in any currency

Remuneration/Compensation Element	10 th percentile	25 th percentile	50 th percentile	75 th percentile	90 th percentile
Basic Salary	248,175	318,055	388,915	486,155	565,969
Fixed Bonus/13 th Cheque	21,540	26,808	32,088	36,618	42,318
Total Base Salary	250,419	330,984	412,058	495,798	575,024
Car Allowance	15,560	49,414	74,772	89,940	102,233
Housing Benefit	9,559	9,564	16,704	37,692	91,766
Professional Fees	692	968	3,887	18,877	22,800
Sundry Benefits	3,783	5,066	10,288	25,054	80,028
Pension/Provident Fund Contribution	21,226	31,418	45,993	60,118	71,975
Medical Contribution	16,704	21,792	34,752	47,307	57,686
Total Guaranteed Package	284,030	375,838	476,721	565,953	672,544
Short-term Incentive	23,397	37,020	50,401	77,699	112,327
Total Annual Remuneration	284,913	378,832	480,705	579,583	707,924

In the example above, each line item of pay is independently calculated. Not every incumbent will receive every element of pay/the same benefit mix as other incumbents in the same job match. As an example, there may be a full sample of 105 incumbents, however only 73 incumbents reported a short-term incentive. The percentiles for the short-term incentive are calculated only for the 73 incumbents,

resulting in smaller differences between the elements of pay, i.e., Total Guaranteed Package and Total Annual Remuneration. For this reason, the percentiles do not add up mathematically down the columns. In South Africa, the **total guaranteed package benchmark** is the most reliable anchor to compare against, as it includes all guaranteed elements of pay, irrespective of the splits or breakdown. It would be important to choose a relevant focus point per country you are managing.

Remuneration of CEO and Executive positions is more complex, because there is a differentiation of both job grade and remuneration based on the size and complexity of the organisation that the Executive is leading. As the start point, there is not one job grade applicable to all CEOs, CFOs or COOs, as examples. There is certainly relativity between the roles and the layers of leadership, depending on the role that the person assumes, however the size and complexity have the most impact on the job grade. Once the grade is established, one can then compare it in the external market with CEOs of a similar job grade. In terms of salary structuring this is important, because the CEO benchmark becomes the maximum anchor at the midpoint at the top of the pay scale/salary structure, and the relativity flows from that point. Some examples used to determine size and complexity within an organisation are revenue, capital employed, total assets, employee count, number of core businesses, number of operations/branches, number of countries and organisation structure, e.g., holding company/stand-alone/subsidiary/listed or unlisted.

In selecting a relevant external benchmark, organisations would consider to whom they lose skills, and from whom they recruit. It may well be that there are certain skills in an organisation that are more portable, and others that are very niche. In this case, more than one data source is important. Herewith some examples of benchmark considerations of selecting comparators for different reasons: complexity and type (for example, single or multiple product, processes, capital or labour-intensive); market or customer (who do you compete with for share of purse?); organisation structure (for example, another organisation with two large, dominant divisions); location of business (for example, hotels, banks and cell phone companies operate throughout Africa); ownership structure (for example, global owners or family-owned listings); geographic location (it may be relevant to compare with organisations in the region, even though they are not in your industry sector, competing for the same resources or customers – operating a business model).

The preferred trend is to reference a survey that includes all relevant data of a full population of employees, rather than skewing the results by excluding certain data or making assumptions with it. From a user point of view, the important element is to ensure that you are familiar with the methodology of the survey you are using to make decisions. We shall now examine the development of a salary structure.

5.4 DEVELOPING A SALARY STRUCTURE

Having considered what informs a salary structure, we now look at the *HOW*...

This section outlines at a high level the key considerations in the design and development of pay structures. Specifically, it aims to achieve:

- internal equity; and
- external competitiveness.

Internal equity refers to the relative grade assigned to different jobs within an organisation. In addition, internal equity assesses how reasonable these grades are. Internal equity can be examined on two levels – horizontally (i.e., between departments) and vertically (i.e., within one department). Internal equity is a key consideration in developing salary structures, not only within a job family but also amongst various job families that have common job grades. As described herein, the job grade becomes the anchor reference point for the salary structure.

External competitiveness is the second consideration in the design of a salary structure. The focus in this area is on external equity and is based on an organisation's need to compete in a free market for

products and services. Part of this competition is the management of labour costs – ensuring that the labour force is neither overpaid (leading to a higher cost than necessary for the organisation to provide/produce its product/service) nor underpaid (possibly leading to a high turnover or labour unrest which could harm productivity). This external competitiveness is addressed through sourcing data for a relevant comparator group via a reputable salary benchmark survey.

Low turnover or a lack of competitors for labour is not an indicator of a lack of competitiveness in an industry or that the remuneration system is working perfectly in the organisation, since turnover could be related to a number of different non pay-related reasons. However, regular and ongoing market referencing should be conducted via external salary surveys in order to keep track of external market practices. Understanding what the market looks like does not mean that one has to follow it blindly, but that one can make an informed decision that best fits your situation and strategic intention. Remember that a salary survey gives you *context* for your decision-making, rather than the irrefutable and only decision. In simplest terms, these two factors define the two axes in your salary structure – as per this diagram it is the grade (internal equity) and salary (external competitiveness):

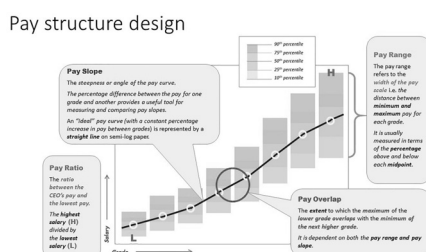


Figure 5.4: Pay structure Illustrated on a grade scale and a salary scale

Where the two intersect becomes your “playing field” for a pay decision at a certain grade/level. Alongside a salary structure, organisations would likely also have policy guidelines regarding *placement* and *progression* within the pay scale.

Having sourced external salary survey benchmark data, this would typically be used to anchor the midpoint of the salary structure per grade, and the remaining decisions would be related to technical issues, such as:

- the number of points in the pay scale, e.g., three points – minimum, midpoint, maximum;
- the range – the width of the pay scale, i.e., the distance between minimum and maximum pay for each grade;
- the overlap – the extent to which the maximum of the lower grade overlaps with the minimum of the next higher grade, which is dependent on both the pay range and pay slope;
- the distribution of actual current pay to the proposed scale, via comparative ratio analysis, which would determine the number of outliers and the cost to adopt the pay scale; and
- the lead/lag strategy, i.e., do we match to market at the increase month, or six months ahead so that we lead the market for six months and then lag the market for six months, as one example.

Herewith a check-list for implementation.

Table 5.4: Checklist for implementation

Item	Check
Job grading is complete and grades are signed off	
External market salary benchmarks are available for each grade	
Individual salaries are available for each grade	
Organisation remuneration policy and strategy are available and give guidance on design issues such as:	

• market stance; • guaranteed pay: variable pay philosophy; • performance, contribution and competence pay stance (pay progression principles); and • range, slope, overlap philosophy.	
Cost-benefit analysis of several options is done	
An implementation project plan covering: • timing; • communication plan; • dealing with anomalies (upgrades, downgrades, salaries above and below the proposed pay scales); and • stakeholder presentations, e.g., remuneration committee, EXCO, trade union.	
Policy and procedure document has been written	

5.5 CONCLUSION

In closing, remember the building blocks that lead to the design of a robust salary structure. If you have accurate and up-to-date **role profiles** then you can establish an accurate **job grade**, which enables you to gather appropriate **external market data** that informs a **customised salary structure**. A salary structure is only one part of a total reward strategy that can influence the people you attract, how engaged they are, and whether they stay in your organisation. Do not underestimate how what seems to be an administrative process can be used to influence your organisation and how it grows into the future.

The next chapter uncovers pay for work of equal value. It discusses how the concept came about, with special focus on the pay gap. It further suggests ways in which to close the pay gap to arrive at a more equal society.

CHAPTER 6

Equal pay for work of equal value

6.1 INTRODUCTION

In recent years, the gender pay gap has gained infamy. Starting out as a noticeable disparity, the gender pay gap concern escalated to an outcry of unfairness when the 2018 #MeToo Movement exploded onto the scene. The #MeToo Movement was initiated in retaliation to gender-based violence and spilt over into the workplace, raising awareness of the oppression women experience by being paid less when doing the same work as men, by being denied promotional opportunities or the chance to occupy leadership roles in proportion to men, and for treatment they felt was unacceptable.

The gender pay gap has become a serious concern for organisations far and wide, as women are slowly beginning to combat the disparity by filing class action lawsuits. Oracle Corp., an American computer technology corporation, was recently made an example of when three female employees won the right to represent a body of over 4,000 of their own. It was alleged that Oracle Corp. paid men more than women for work considerably similar in terms of responsibility, effort and skill, as well as working conditions. The pay disparity could not be accounted for by experience, education, tenure and the

performance management system. The U.S. Labour Department has held Oracle Corp. accountable for \$400 million owed to minority groups and women. The International Labour Organisation reported the global average of the pay gap to be 20%⁵¹, and despite the gender pay gap reducing each year, the amount is incremental.

Pay inequity not only pertains to gender, but extends to minority groups such as those from diverse ethnic backgrounds and those with disabilities. Inequity could exist between an organisation's internal employees and those they outsource, part-time workers and full-time employees, and even temporary and permanent employees.

In the US, only a third (35%) of individuals living with disabilities are employed. This unemployment rate is high, seeing that the majority (76%) of non-disabled individuals are employed.⁵² This disparity grows continually. Similarly, European Union countries have reported an employment rate of 47% of those with disabilities and 67% for those without.⁵³ Even when disabled individuals do have a job, they may be employed in unfavourable circumstances, such as having to do part-time work, receiving below average wages, or being forced to work fewer hours (and thus, receiving less pay).⁵⁴ In creating an equal and fair society, these societal norms need to be addressed. Equal pay for work of equal value is thus at the forefront of an equal society.

6.2 EQUAL PAY FOR WORK OF EQUAL VALUE

Equal pay for work of equal value (herein referred to as equal pay), pertains to the right of all genders to receive the same payment for the same work. If women receive less than men for work that is the same or similar in nature, proof must be provided by the employer that the discrepancy is owed to a factor other than gender. This is purely a gender-based example – a number of discriminatory factors would be considered indefensible.

The UK provides a model for equal pay legislation that other countries may use as a baseline for gender-based solutions, i.e., all genders have the right to be paid the same for work that is alike, is deemed equivalent via Job Evaluation, or is of equal value.

The above points are defined as follows:

- **Work that is alike:** Work performed by two or more employees who are in the same, or similar, roles.
- **Work that is deemed equivalent:** Work performed by two or more individuals which has received the same rating as per a Job Evaluation system, despite the fact that the two or more employees performing the work have entirely different jobs.
- **Work of equal value:** Work that requires a similar skill and ability level, despite the jobs of two or more of the employees performing the work being very different.

If the comparison of work is so simple, how did the gender pay gap emerge in the first place?

6.2.1 *How did the pay gap emerge?*

The gender pay gap largely emerged from societal norms. Historically, men were the breadwinners, thus jobs that were perceived to need a man's hand assumed higher value. Women were given the role of caring for children and thus veered to part-time work while doing so. Women also had to forfeit promotional opportunities as their dual-purpose lifestyle (part-time work and caring for children) hindered their working life. The modern day has paved the way for a more diluted gap between gender roles. Females take on what were considered previously male-dominated occupations, and males have transitioned into sharing what was previously seen as a female role (e.g., being granted paternity leave to look after children).

Given the modern workplace demographic and females earning the right to be treated as equal to men, it is evident that they should receive equal pay for their work (if their work is alike, deemed equivalent, or of equal value to those of their male counterparts). However, studies show that this is not the case. A

study of Uber rideshare drivers showed that in the US, the average man earned 7% more than the average woman on an hourly basis.⁵⁵ A global study on task-based work on an online platform showed that women earned an average of 37% less per hour than men.⁵⁶ Palpably, this problem needs to be addressed to eradicate feelings of unfairness on behalf of women and minority groups in the workplace, and to create an equal and fair society.

The pay gap may be caused by discriminatory and non-discriminatory practices. Where discrimination exists, it must be eradicated. The ILO distinguishes between discriminatory and non-discriminatory practices, where discriminatory practices are those mentioned above (where unequal pay is received for work of equal value), and non-discriminatory practices pertain to the differences in treatment between parties, dependant on the requirements of a job. Being male or female may be a logical prerequisite for a job that requires physical performance, for instance, if a country wanted to break a world record for having the fastest person in the world, they would recruit men. It is probably not wrong to say that men generally run faster than women and the 10 fastest people in the world are all men. This is not to say that women do not have their own natural characteristics that allow them to be the best at certain things, for instance, only women (so far) are able to be surrogates.

Essentially, differentiated treatment based on the exigencies of a job is not considered discriminatory, however, when differentiated treatment surpasses the basic necessities of a job, an organisation may want to delve deeper into their practices to determine whether they are being fair to their employees or not. The ILO attributes the existence of the gender pay gap to the following factors:

- **Job type:** Women commonly assume lower-paid careers while men over-represent highly paid careers. Women are commonly associated with part-time work.
- **Productivity characteristics related to gender:** This includes level of education, type of studies, level in the organisation and work experience.
- **Number of hours invested:** Men work more hours than women.
- **Characteristics of organisations of employment:** The type of industry, the size of the organisation and the unionisation will affect the pay gap.
- **Remuneration practices:** These may be conducted in a way that directly or indirectly discriminates. Direct discrimination applies when different pay is accorded to different groups. On the other hand, indirect discrimination crops up when policies and practices used to set pay are tainted. Thus, the *procedures* behind remunerating are discriminatory. Unconscious bias often plagues these procedures. There may be bias in Job Evaluation methods, job classification, and job grading and remuneration systems that disfavour minority groups.

The method used by 21st Century to calculate gender pay gaps is well tried, tested and robust, with consideration of global best practice. Methodologies to calculate these gaps are described in Chapter 7, with detailed consideration of the advantages and disadvantages of each method.

6.2.2 *What are the benefits of closing the pay gap?*

Closing the pay gap is beneficial for society beyond obvious reasons. Of course, obvious reason are the emergence of a fair and equal society, equal pay benefitting the economy. Equal pay promotes the participation of minority groups in the economy and has positive implications thereafter. For those who are already participating in the economy, equal pay encourages their full potential. When individuals believe they are being fairly treated by an organisation, their motivation, productivity and willingness to go over and above to assist an organisation in reaching its goals is likely to increase. When individuals perceive unfairness, the opposite is likely to happen.

Bridging the pay gap may also contribute to an organisation's Corporate Social Responsibility (CSR). Studies show that CSR practices positively influence an organisation's reputation.⁵⁷ Furthermore, it is likely that people will be inspired to support organisations they feel do not discriminate against them.

6.2.3 *Misconceptions around the pay gap*

Various parties may be reluctant to close the pay gap due to the misconception that it will be a costly task. However, research by the ILO has shown that closing the pay gap would be easier and less costly than may be presumed. For instance, the ILO shows that the gender pay gap sits at approximately 16% across countries in the European Union, whereas the amount needed to close the pay gap is 1 to 2% of the wage bill. This is because the pay gap is acclaimed to be lower in an organisation than in society in general.

Concerning lower wages for disabled employees, employers argue that it costs them to build the necessary infrastructure in the workplace to accommodate these employees. However, once again, this has been proven incorrect by parties such as the Job Accommodation Network.³⁸ On the contrary, hiring an individual with a disability outweighs the cost of implementing the infrastructure for them. A study cited by the ILO showed that 65% of Australian employers rated “neutral” when asked about the financial cost of implementing infrastructure for their disabled employees, implying that the cost was not significant enough to affect their financial status. In fact, 20% of Australian employers rated that hiring disabled individuals benefited their organisation financially.

Misconceptions about the cost of hiring disabled individuals means that these individuals are less likely to be hired and are thus an untouched talent pool in the market. This means that an array of talent with skills, education, knowledge and know-how is being neglected. Employees may find that the missing link they have been waiting for is right before their eyes, yet general assumptions about the cost of hiring disabled individuals has created a pay gap.

Having discussed the pay gap and the factors resulting in its emergence, the next section focuses on reversing the gap to achieve a more equal and fair society.

6.3 HOW WILL EMPLOYEES RECTIFY THE CURRENT SITUATION?

For the pay gap to be rectified, it needs to be addressed by stakeholders on a global scale, on a national scale, and on an organisation-wide scale.

6.3.1 *Global scale*

For the pay gap to be addressed globally, society needs to address its own norms and beliefs. Stakeholders also need to become aware of the prevailing inequality, which may be achieved through awareness and education. Technology and social media platforms exist now that allow individuals to have a worldwide awareness, thus gender equality campaigns have the capacity to be spread far and wide, so that various nations receive insight (excluding some countries that are under strong dictatorial rule). This would specifically affect gender-based biases and contribute toward addressing gender-based inequality. The same could be said for any other area of unfair discrimination.

6.3.2 *National scale*

Often, a country needs to go through a state of emergency before any type of change occurs. Civil unrest or interference from other nations may precede change, yet once this has occurred, or if it does not need to occur at all, the stakeholders of a country need to work towards establishing legislation to translate the nation's beliefs into a structured policy. Those who feel that the common belief has not been met may challenge the offender.

Gender pay gap legislation differs dramatically, however basic workplace gender pay gap legislation should stipulate who holds the right to make a claim vis-à-vis equal pay. Legislation in certain countries may, for instance, state that equal pay claims are limited to employees who are required to deliver work, while legislation in other countries may allow a claimant to be a contractor. Gender pay gap legislation should determine when a claimant's rights are being breached, for instance, when equal work performed receives unequal pay. Equal pay legislation should also specify the process of a claim. For example, in the UK, an applicant must identify, before an employment tribunal, an individual of the opposite gender who is working for the same employer or another employer and performing equal

work. This identified individual is called a 'comparator' and must be shown to be paid more, or otherwise have more favourable terms and conditions of employment, than the applicant. The comparator may even be a hypothetical situation.

Legislation may also help bridge the pay gap by making pay audits compulsory in organisations, with companies being obliged to report their figures annually. This allows other stakeholders to determine whether they would like to support these organisations, or work for them.

6.3.3 Organisation-wide scale

Fixing a problem that has been around for a very long time but has not been considered a problem may prove to be a challenge. Organisations that have already established their practices are now forced to reshuffle these to accommodate legislation and other stakeholders. Let's face it – who wants to work for, or support, an organisation that violates human rights? It is in the best interests of an organisation to fix any unfair pay gap, whether legislation requires it or not.

The ILO proposed that pay inequity may be addressed by way of one of three different models. The model of choice should be suited to the specific circumstances of the organisation and should be influenced by public policy and the pro-activeness of the employer. The proposed models are as follows:

- **Model 1:** A comprehensive approach with the objective of eradicating discrimination in remuneration practices and discriminatory practices that have resulted in the pay gap.
- **Model 2:** A partial approach with the objective of eradicating discrimination in remuneration practices.
- **Model 3:** A mixed approach with the objective of eradicating particular discriminatory practices and the gender pay gap.

Whether an organisation employs Model 1, Model 2 or Model 3, eradicating discrimination in organisational practices is a common goal. As such, it is important to assess the various forms of discrimination that one may not have previously been conscious of.

The following are steps that organisations may take to close the pay gap throughout the employee life-cycle:

The Attraction Stage

In the attraction stage, where organisations attempt to encourage talent to apply to work for them, organisations must be sure to advertise to candidates who were previously not in their line of sight. These should include minority groups and those who have previously been left out of the market. By not doing so, organisations are potentially missing important talent in the market.

The Recruitment Stage

In the recruitment stage, organisations sieve through talent, choosing who is the best fit for the business. Organisations should thus ensure that their recruitment practices are free from bias. Unconscious-bias training may be employed to exclude bias in the recruitment process, and caution should be taken to ensure that the entire process is bias-free. For instance, job descriptions may be phrased in a way that may be deemed negative by certain demographic groups and deter them from wanting to work for the organisation. Thus, job descriptions should be universal and considerate of all groups.

Another way of eliminating bias may be to set the salary for the position, before even knowing who the candidate is. After determining the candidate's experience and educational level, the amount may be adjusted within the formal salary scale. As an employee may attempt to sue their employer for work of equal value attributed to historical differences, employers should not rely on a candidate's salary history when setting pay. Basing a salary on an individual's salary history implies that an employer is relying on the candidate's previous organisation of employment to get it right. What if the previous candidate is worth more than they were previously paid and they are talent that needs to be held onto?

What if the previous organisation was discriminatory? Rather than relying on the workings of the previous organisation, an organisation should start afresh, conduct its own audit, and conduct it in an objective, non-biased way. This reinforces the importance of a robust salary scale, as per previous chapters of this book.

Job types, pay structures and Job Evaluation schemes that do not have built-in biases (about skill levels required for jobs, or anything that will discriminate against women or other minority groups) should be utilised for good practice (in light of, for instance, female-related skills and abilities being associated with lesser value on the part of societal norms). Consideration should be made to remain indiscriminate of flexible working hours, part-time work and other positions previously discriminated against.

In the UK, an employee may sue an employer if they are not receiving equal value for equal work. The reason for the difference must not be attributed to a 'material factor', however, which refers to a factor that is non-discriminatory in nature. A material factor may be related to job performance, for instance, and the employer may prove that the difference in compensation between the members of each gender are as per a performance management review.

An employee must not rely on the 'material factor' as it is only applicable if it does not place a member from a disadvantaged group in a position of excessive disadvantage. However, this disproportionate advantage is justifiable in court if it had the purpose of achieving a legitimate aim. An example would be that of a male and female in the same role who perform the same tasks, but the male receives greater compensation owing to his increased experience over that of the female who has taken greater breaks for childcare purposes. Compensating the male more for his greater experience is a justifiable means in most cases.

Here are some steps to close the pay gap in organisations:

- Conduct a pay audit by determining what the company values in pay differentiation and pay progression decisions (e.g., skill, experience, education, tenure, responsibility, risk-level, performance) in relation to the different employee groups (genders, disability, other minority groups). This pay audit should be conducted annually as the organisational composition varies when employees enter and exit. Pay should not only relate to salary, but should include the Total Earnings (fixed and variable pay, per grouping).
- Reverse existing disparities by reviewing employees' pay and comparing it to the market-related norm according to salary surveys. These market-related surveys may be undervaluing female-dominated jobs, as per societal norms. Thus, look towards data collected from female-dominated organisations or boost the value of lower paid jobs. The value of higher paid jobs may be reduced to redirect finances.
- Commit to transparency. Employees should be in the know as to how their pay is determined. This allows them to observe the fairness of the process and establish what factors may allow them to receive a bonus or a higher salary. Building a sense of trust in the salary decision-making process has a big impact on employee engagement and commitment.
- Reward output rather than number of hours. Men often have more hours to dedicate to work while women often have dual roles such as childcare. Rewarding output will motivate employees to perform quicker and produce work of a higher standard, rather than lagging at the office to score higher on the time sheet. This will ensure that within a specific time period, both genders are receiving equal pay.
- The work structure may be altered to accommodate employees, which may serve the organisation in return. Flexible hours and remote working locations may allow employees to put more time into their work that is more suitable for them, resulting in increased productivity for the organisation.

The On-boarding Stage

The on-boarding stage relates to employees' organisational socialisation, where they acquire the

behaviour and knowledge of the organisation to help them settle in. The organisational culture is important in this step as it dictates to newcomers what is appropriate behaviour in the organisation and what is not. In eradicating inequality, organisations should create a culture of fairness and respect, displaying that all stakeholders have equal opportunities.

The Development Stage

The development stage of the employee life-cycle pertains to the training and development of the employee. All employees should have equal access to development opportunities.

The Retention Stage

Retention refers to the attempt of the employee to keep talent at their organisation rather than having them seek jobs elsewhere. Retention may also contribute to the gender pay gap as men are more likely to bargain for and attain higher salaries than women as they negotiate between organisations. So as not to increase the gender pay gap, it is important that employers continue to pay equally. A suggestion is that if a male has bartered for a higher salary and this is linked to his performance review, a woman who performs equally on her performance review should be awarded the same.

The Organisational Exit Stage

Organisational exit pertains to an employee who leaves the organisation and is often accompanied by an employee's retirement plan when they decide to stop working. Employers should ensure equality in retirement plans, based on their previous equal pay.

6.4 CONCLUSION

Establishing equal pay for work of equal value may be the act of re-establishing norms or becoming proactive in bridging the pay gap. This requires help from legislation or organisations that want to improve their Corporate Social Responsibility (CSR) or their reputation. However, with more attention paid to the topic, the pay disparity may be addressed and closed to pave the way for an equal society. Although there is still some way to go, South Africa has made great strides and is ranked 18th out of 156 countries when it comes to the gender pay gap. The Global Gender Gap Index benchmarks the evolution of gender-based gaps among four key dimensions (Economic Participation and Opportunity, Educational Attainment, Health and Survival, and Political Empowerment) and tracks progress towards closing these gaps over time. The figure below sets out the rankings of the 156 participating countries.

Having discussed the emergence of the pay gap, Chapter 7 focuses on measuring income inequality.

Table 6.1: The Global Gender Gap Index 2021 Rankings²²